CHAPTER FOUR

A VISION FOR THE GROUP

A Strategy for Change

On 29 July 1981, just three months before he was appointed chairman of TIL, Ratan had written a letter to JRD saying that the Tatas were ‘no longer operating as a unified organization’. He said that while ‘strategic plans do exist in individual companies’, at the group level, they were conspicuously absent. Because of the independent management structure, opportunities for business in new projects were ‘examined by each company in the light of its own priorities’ and therefore, ‘very often missed because [the opportunity] does not fall in its scheme of things or because the company simply lacked the resources necessary’.

On the other hand, if the company heads looked at business areas, activities and projects from an ‘overall group angle’, it would strengthen the whole group, he asserted. Ratan said: ‘I believe such an integrated view of the present as well as the long-term plans is essential to our very existence as a group, and I believe adequate attention and emphasis needs to be given to our future direction.’

He prepared a blueprint to give the group a common direction and promote cohesion by creating binding strands that would arrest the divisive tendency that threatened to break up the group.

A team of twenty-five senior executives comprising well-known experts from different areas was brought together and tasked with the responsibility of preparing the document. They were advised and assisted by Professor Santosh Kumar Bhattacharya, a former consultant for McKinsey and a teacher at Harvard Business School who was at the time with IIM Ahmedabad. Ratan said that Bhattacharya was the ‘foremost authority … in India on Strategic Planning’.